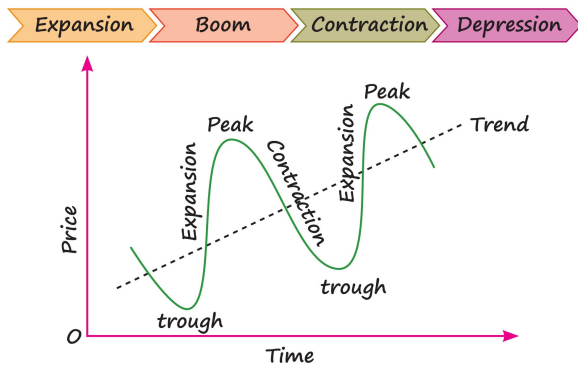


Business Cycles

1. Four Phases of Business Cycles:



2. Economic Indicators:

Leading: A Variable that changes before the real output changes.

Examples:

- ◆ Changes in stock price
- ◆ New orders for capital and consumer goods

Lagging: A Variable that changes after the real output changes.

Examples:

- ◆ Unemployment
- ◆ Labour cost per unit
- ◆ Corporate profit

Coincident: Variable that occurs simultaneously with business cycle movements.

Examples:

- ◆ GDP

◆ Industrial production

◆ Inflation

3. Features of Business Cycles

1. Occurs periodically, does not exhibit the same regularity, duration varies, and intensity of fluctuation also varies.
2. Indefinite length of phases (Expansion Boom, Contraction, Depression).
3. Disturbances in one/more sectors get easily transmitted to all the other sectors.
4. Originates in the free market.
5. Business cycles are a complex phenomenon, affected by varying factors.
6. Affects output, employment, investment, trade, prices, etc.
7. Contagious and spreads via trade (e.g., Great Depression).
8. Significant consequences on well-being.

4. Name of the Economists & their Quotations

- **J. M. Keynes:** Lower aggregate expenditure is the reason for the massive decline in Income and employment.
- **Hawtrey:** Trade cycle is a purely Monetary phenomenon.
- **Schumpeter:** Trade cycle is the result of innovation.
- **A. C. Pigou:** Business activities are affected by a wave of optimism & pessimism.